THE THORNE IRREVOCABLE LIFE INSURANCE TRUST (ILIT)

Second-to-Die / Survivorship Estate Liquidity Trust with Crummey Mechanics

THIS IRREVOCABLE LIFE INSURANCE TRUST AGREEMENT is made this 15th day of November, 2026, by and between VICTORIA H. THORNE and ALISTAIR C. THORNE, of Houston, Texas (the "Grantors"), and SAMUEL T. STERLING (the "Independent Trustee").

Article I: IRREVOCABILITY & RELINQUISHMENT OF INCIDENTS OF OWNERSHIP

Section 1.01 Irrevocability & IRC § 2042 Safe Harbor. This Trust is strictly IRREVOCABLE. The Grantors permanently relinquish all incidents of ownership under IRC § 2042 in any life insurance policy held by the Trust.

Article II: ACQUISITION OF SURVIRORSHIP LIFE INSURANCE POLICY

Section 2.01 Survivorship Policy Acquisition. The Trustee is authorized to apply directly as owner and beneficiary for a $10,000,000 survivorship life insurance policy on the lives of the Grantors to avoid the IRC § 2035 3-year rule.

Article III: CRUMMEY DEMAND WITHDRAWAL RIGHTS

Section 3.01 Crummey Withdrawal Rights & Hanging Powers. Living children and grandchildren (Crummey Beneficiaries) have an immediate 30-day right to withdraw annual contributions up to statutory gift exclusion limits. Lapses are governed by the 5-and-5 Hanging Power rules under IRC § 2514(e).

Article IV: ESTATE TAX LIQUIDITY LOANS & ASSET PURCHASES

Section 4.01 Estate Liquidity Provisions. To preserve family real estate and business assets from forced liquidation upon death, the Trustee is authorized to purchase illiquid assets from or make secured loans to the Grantors' probate estates or Revocable Living Trust.

IN WITNESS WHEREOF, the Grantors and Independent Trustee have executed this Agreement on November 15, 2026.

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VICTORIA H. THORNE, Grantor

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ALISTAIR C. THORNE, Grantor

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SAMUEL T. STERLING, Independent Trustee